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PUSAT PENTADBIRAN KERAJAAN PERSEKUTUAN
62530 PUTRAJAYA**

KERTAS PENERANGAN (*INFORMATION SHEET*)

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NO. DAN PENYATAAN KEBOLEHAN / <i>ABILITY NO AND STATEMENT</i>	01. 01 LIAISE COMMUNICATION PRACTICE 01. 02 APPLY BASIC NEGOTIATION SKILLS	
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TAJUK/TITLE : BASIC NEGOTIATION SKILL

TUJUAN/PURPOSE :

This information sheet is intended to describe the application of negotiation skills. It will explain about the basic knowledge of conducting negotiation to achieve a mutually acceptable outcome. The person who is competent in this CA shall be able to apply basic negotiation skills to achieve their objectives

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PENERANGAN/INFORMATION :

1. Definition Of Negotiation

1.1 Negotiation can be defined as bargaining process between two or more parties to discover common ground and reach an agreement to settle differences of mutual concern or resolve a conflict. It is a process by which a compromise or agreement is achieved while avoiding non-productive argument and dispute. In a simpler explanation, negotiation is process of bargaining your agreeable wants while avoiding conflicts..

1.2 Understanding the negotiation process increases the chance of positive outcomes for each parties while still maintaining effective working relationships. Negotiation occurs in business, organizations, government, legal proceedings, among nations and in personal situations.

1.3 In any disagreement, any individuals is understandably aiming to achieve the best possible outcome for their position or an organization. However, in the principles of fairness, seeking mutual benefit and maintaining a relationship are the keys to a successful outcome.

2. Importance of Negotiation

2.1 Negotiation is an important skill in life. Difference in interests, views and opinions makes conflicts bound to happen. Negotiation skill is a tool to achieve results while resolve lingering issues.

2.2 It is inevitable that from time-to-time, conflict and disagreement will arise as the differing needs, aims and beliefs of people are brought together and collide. Without negotiation, such conflicts may lead to argument and resentment resulting in one or all of the parties feeling dissatisfied. The objective of negotiation is to reach a mutual agreement without causing future barriers to further development or works. Any misunderstanding that arises between parties will propagate their prejudices and trigger unwanted emotion.

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3. Characteristic Of Good Negotiator

3.1 There are seven (7) basic characteristic of a good negotiator :

- i) Good listener.
- ii) Good communicator
- iii) Posses appropriate knowledge
- iv) Decisive
- v) Self-confident
- vi) Understand and recognizes the value of relationships

4. Negotiation styles

There are five styles of negotiation. These styles can be used based on individuals' preferences depending on their pro-self or pro-social goals.

4.1 Accommodating.

For individuals who enjoy solving problems while preserving personal relationships. Accommodators are sensitive to the emotional states, body language, and verbal signals of the other parties. They can, however, feel as if being taken advantage in situations when the other party places little emphasis on the relationship.

4.2 Avoiding.

For individuals who do not like to negotiate and avoid it unless warranted. When negotiating, avoiders tend to defer and dodge the confrontational aspects of negotiating. However, they may be perceived as tactful and diplomatic.

4.3 Collaborating.

For individuals who enjoy negotiations that involve solving tough problems in creative ways. Collaborators are good at using negotiations to understand the concerns and interests of the other parties. They can, however, create problems by transforming simple situations into more complex ones.

4.4 Competing.

Some individuals enjoy negotiations activity because they present an opportunity to win something. Competitive negotiators have strong instincts for all aspects of

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negotiation and are often strategic. Because of their style which could dominate the bargaining process, competitive negotiators often neglect the importance of relationships.

4.5 Compromising.

For individuals who are eager to close the deal by doing what is fair and equal for all parties involved in the negotiation. Compromisers can be useful when there is limited time to complete the deal. However, compromisers often unnecessarily rush the negotiation process and make concessions too quickly.

5. Basic principles for negotiation

5.1 The five (5) basic principles in a good negotiation process :

i) Preparation (Gather the information).

Information is the foundation of negotiation. Without knowing who our counterpart is, it is almost impossible to establish any good negotiation points. We must know the background of the parties' and what are the parties' goals and issues. A good strategy for gathering information would be to answer the following questions:

- a) What kind of information do we want to know?
- b) Where can we get this information?
- c) Can we learn anything from past negotiations with this party?
- d) How much business are we doing with this party?
- e) What is the company's performance?
- f) What do you want the other company to know about you?

ii) Establish relationships.

Trust is essential for any conflict handling. It must be established through relationships or even friendship but building relationships takes time and dedication.

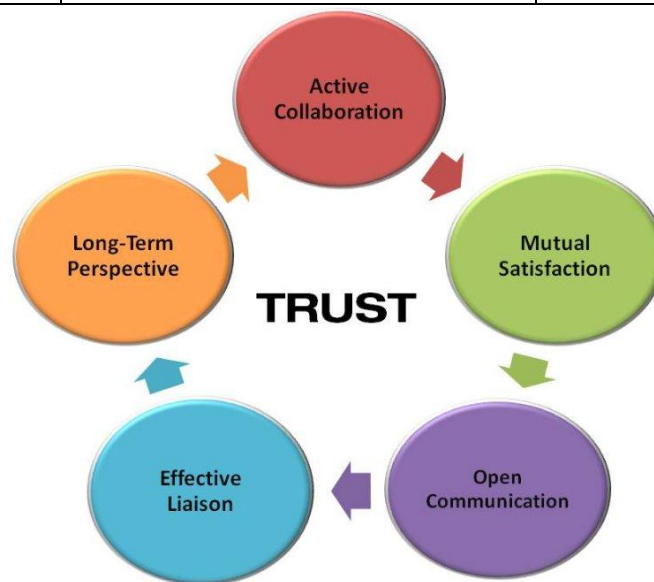


Figure 5. 1 : Step To Built Trust

iii) Objectivity (Know your BATNA and your opponents' BATNA.)

BATNA (Best Alternative To Negotiated Agreement) is what to be done if one cannot reach agreement and also on how good that option will be for us. By knowing the BATNA, we could have a better understanding of what the ZOPA (Zone Of Possible Agreement) of this negotiation. By knowing our BATNA, we can define our negotiation limit (what we are willing to give or to take to reach a negotiated agreement).

iv) Strategy.

When preparing for a negotiation, be focused on discussion / compromising. Pay attention to the verbal and non-verbal communication. Plan a realistic cause of action based on sound preparation and objective of resources.

v) Technique / Taking care of your target.

Target is the reasonable possible outcome of the negotiation. Never reveal your target at the beginning of any negotiation as it could tip the balance towards your counterpart. For that reason, one should table the first offer and concession carefully. After the first offer, negotiators need to make concessions to enable the parties to move toward the zone of potential agreement (ZOPA).

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6. Types of Negotiation

6.1 There are 7 types of negotiations. It's important to consider which type you're facing because each demands a different strategy.

i) Win - Lose Negotiations

In game theory they call a win-lose negotiation a zero-sum game. A common analogy for a zero-sum game is dividing a pie. The pie doesn't get smaller or bigger — the players play a game to decide who gets the bigger slice. If you're facing a win-lose negotiation focus your strategy on determining the other party's minimum requirements.

ii) Win-Win Negotiations

Win-win negotiations involve expanding the pie. For example, if two people decide to go into business together: their partnership negotiations are win-win.

However, a win-win outcome is possible because they hope to make money on their investment (expand the pie). Salary negotiations and business-to-business sales can usually be considered win-win.

Win-win negotiations may be just as focused on building a bigger pie as dividing the pie fairly. Every effort should be made to keep negotiations friendly and constructive.

iii) Lose-Lose

Lose-Lose negotiations involve a situation in which everyone is going to lose. Lose-lose negotiations can quickly turn bitter and adversarial. Despite the fact that both parties will lose it's important to try to maintain a collaborative approach.

Let's say you leave your jacket at a restaurant coat-check and they lose it. Your negotiations for compensation with the restaurant's manager are lose-lose. You not likely to get more money than the coat was worth. The restaurant also

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loses.

iv) Adversarial Negotiations

Adversarial negotiations are highly competitive in nature. This type of negotiations require battle strategies.

Win-lose and lose-lose negotiations are most likely to be adversarial. Nobody wants to lose, this tends to drive intense competition. In some cases, win-win negotiations are also adversarial. For example, high stakes business-to-business sales negotiations often become adversarial (customer vs seller).

In extreme cases, negotiations are adversarial because the parties involved intensely dislike each other. In such cases, negotiators may not be interested in winning. Instead, they may seek to maximize the losses of the other party. Negotiations between political rivals may turn destructive in this way.

v. Collaborative Negotiations

Collaborative negotiations are creative and friendly. For example, business partnership negotiations are often collaborative. Win-win negotiations that are expected to yield big wins tend to be collaborative. Collaborative negotiations rely on persuasive techniques, optimism and creativity

vi) Multi-Party Negotiations

Multi-Party negotiations are complex negotiations between two or more parties. They can be extremely challenging and may take years to complete. International treaties between nations are often multi-party. This type of negotiations require advanced diplomatic techniques.

vii) Bad Faith Negotiation

Bad faith negotiation occurs when a party pretend to negotiate but secretly has no intention of compromising. Bad faith negotiation is often used as a delay or diversionary tactic. For example, a country may sign an environmental treaty with no intention of implementing it just to relieve political pressure from its citizens.

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If you suspect that the other side is negotiating in bad faith, it's time to start thinking about penalties in your agreement.

7. Negotiation Technique

Negotiating techniques are important in getting the best, possible outcome. A good knowledge of negotiating techniques will enable you to maximize your confidence, increased harmony among the team, leading to the desired outcome while still maintaining effective working relationships toward future success.

There are several basic negotiation techniques to various situations:

- i) Assessing your needs and wants and what you are really after.
- ii) Knowing the other parties' needs and wants.
- iii) Staging the discussion.
- iv) Identifying areas for compromise.
- v) Following-up with an action plan.

Before you go into any negotiation, make sure you have considered your needs and what you want to achieve. Identify each of the needs and wants from various angles such as the root cause, implications, and some possible solutions.

Document the ideas/points during formal negotiation meetings. This will help you focus on the discussion and give credibility to your argument. Don't leave unaddressed points because it can cause distress and obstacles that are not easily overcome.

Focus on the discussion points. If additional discussion points arise, do not add them to the current meeting. Be polite, calm and move for a short break if the negotiation becomes into an argumentative situation and tensions increased.

Never begin with your final offer. Give yourself a sufficient "cushion" between what you are asking for and what you actually want. Some of the negotiation items will be used to barter and trade for priority needs on achieving at least some of their goals. This will enable you to make compromises without giving up anything

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important, and demonstrates to the other party that you are flexible. If the other party is not willing to come to an acceptable compromise, consider whether it is more beneficial for you to continue or to simply end the negotiations.

8. Negotiation Process

8.1 Negotiation Stage

In order to achieve a desirable outcome, it may be useful to follow a structured approach to negotiation. There are five (5) process stages of negotiation:-

- i) Preparation and planning
- ii) Clarification and justification
- iii) Bargaining
- iv) Agreement
- v) Implementation of a course of action

i) Preparation and planning

Before any negotiation takes place, a decision needs to be taken as when and where will the meeting held and who will participate. Setting a limit time-scale can prevent the disagreement continuing.

Undertaking preparation before discussing the disagreement will help to avoid further conflict and unnecessarily wasting time during the meeting.

ii) Clarifying and justification

Clarification and justification is an essential part of the negotiation process. Both parties will be discussing at length. Each side will get a chance to explain, justify and support their original request. Key skills during this stage include questioning, listening and clarifying. Without it, misunderstandings are likely to occur which may cause problems and barriers to reaching a beneficial outcome.

From the discussion, goals, interests and viewpoints of both sides of the negotiation need to be clarified. It is helpful to list the factors in order of priority. Through this clarification it is often possible to identify or establish some common ground.

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iii) Bargaining

The bargaining stage is the most important stage where both sides feel they have gained something positive through the process of negotiation and both sides feel their point of view has been taken into consideration. This means that each party would have to give up something to gain another. It is essential to always have an open mind and be tactful while at the same time not giving away too much and settling for less.

This is where the actual deal will begin to take place with terms and conditions are laid down as outcome of negotiation. Both parties would have to learn to compromise on several aspects to come to a final agreement.

Suggestions of alternative strategies and compromises need to be considered at this point. Compromises are often positive alternatives which can often achieve greater benefit for all concerned compared to holding to the original positions.

iv) Agreement

Agreement can be achieved once understanding of both sides viewpoints and interests have been considered. It is essential for everybody involved to keep an open mind in order to achieve an acceptable solution. Any agreement needs to be made perfectly clear so that both sides know what has been decided.

v) Implementing a Course of Action

This stage, a course of action has to be implemented to carry through the decision.

9. Failure to Agree

9.1 If the process of negotiation breaks down and an agreement cannot be reached, then re-scheduling a further meeting is called for. This could avoid all parties

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from becoming embroiled in heated discussion or argument, which not only a waste of time but can also damage future relationships.

9.2 At the subsequent meeting, the stages of negotiation should be repeated. Any new ideas or interests should be taken into account and the situation looked at

afresh. At this stage it may also be helpful to look at other alternative solutions and/or bring in another person to mediate.

10. Negotiation Outcome

10.1 Negotiating outcomes are the types of results that can happen at the end of a negotiation. Obviously, the goal in a negotiation is for both parties to walk away with their needs being satisfied.

10.2 All negotiations end up with one out of four possible outcomes:

i) One party wins and the other loses.

This outcome is known as win-lose scenario. Both sides attempt to win, without much regard for the outcome of the other party. In this scenario, both parties may enter the negotiation with a best case scenario and a "walk away" point. In a Win - Lose scenario, one party falls within their target range (or better) and the other party falls outside their target range.

In this type of outcome, one side wins and the other side loses. There is no compromise with a win-lose outcome. It's a one-side takes all battle with one side getting all their needs satisfied and the other side getting nothing. While the side that wins may be very happy about the outcome; the losing side has a high level of resentment over the deal because they did not have any of their needs met. This usually results in the end to any future negotiations and a termination of the relationship.

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ii) Both parties lose.

This outcome is known as lose-lose scenario. One of two things can happen either both parties concede bargaining positions outside their target ranges, or no deal is struck. Both parties may end up in worse positions than when they started the negotiations. In this type of outcome, ego's come into play which thwart the negotiating process. Both sides dig into their positions and are unwilling to compromise with each other. In the end, both parties end up losing in the deal. Resentment exists between both parties as a result of the outcome and it is unlikely that they will ever negotiate with each other again.

iii) They get stuck in a stalemate.

In this type of outcome, neither side wins or loses and after a long negotiating session, both sides are at the exact same place that they started off at. This is a result of not being able to deal with interests and only positions. Stalemates happen when both sides aggressively defend their positions and neither side is able to make the other side budge.

iv). Both end up winning.

This outcome known as win-win scenario. Both parties end up at minimum within their target ranges. In some cases, a win-win can mean that a new solution is found that improves the position of both parties.

In this type of outcome, both sides walk away with their interests and needs being met. Both sides leave the negotiating table satisfied because they came out of the negotiation with more than they had started with. Relationships are preserved because both parties cooperated with each other in determining a fair solution to the problem. This outcome also bolsters trust for future negotiations between the two parties because they have established a positive relationship.

APPROACH	The Result	Outcome
Convince	You Win ~ They Lose	Short Sighted
Capitulate	You Lose ~ They Win	Very Costly
Compromise	You Lose ~ They Lose	Unsatisfactory
Collaborate	You Win ~ They Win	Rewarding

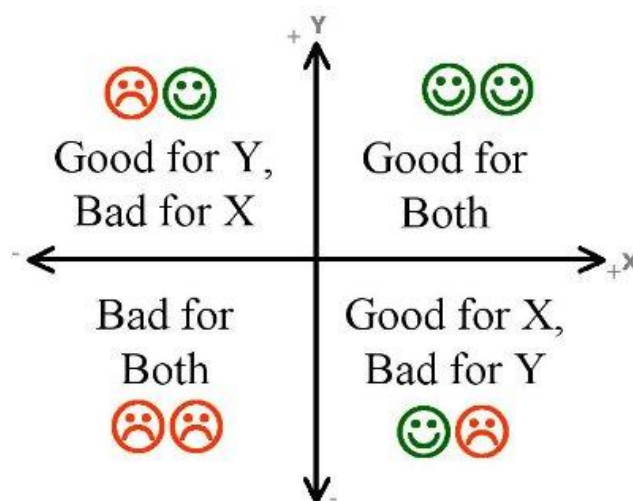


Figure 10 – Negotiation Quadrants Outcome

11. Setting Up For Success Negotiation

Since negotiations are normally a one-time affairs, it is usually towards a win-win outcome. When both parties parts from with a positive feeling about achieving their goals, they will probably be willing to negotiate again. Using all skills to ensure that all parties feel like winners.

12. Strategy For Successful Negotiations

- Know what you want. Set clearly your interest and goals.
- Know the other parties. Learn as much as you can about the people with whom you are going to be negotiating. Know their negotiating style, negotiation skills, backgrounds, hopes, fears, aspirations, and interests.

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- iii) Listen carefully to the arguments of the other party and assess the logic of their reasoning. Clarify issues you are not clear about by asking how, why, where, when and what questions.
- iv) Prepare point by point. List all the issues which are important to both sides and identify the key issues. Identify any personal agendas. Question generalization and challenge assumptions.
- v) Identify any areas of common ground.
- vi) Understand any outside forces that may be affecting the problem.
- vii) Keep calm and use assertive rather than aggressive behavior. Use tact and diplomacy to diffuse tensions.
- viii) Remember :NO is a little word with big power!
- ix) Use both verbal and non-verbal persuasion skills. Use open, encouraging body language such as mirroring, not defensive or closed.
- x) Prepare options for mutual gain. Know when to compromise. Offer concessions where necessary, but minor ones at first. Distinguish between needs: important points on which you can't compromise and interest interests where you can concede ground.
- xi) Make sure there is an agreed deadline for resolution
- xii) Decide on a course of action and come to an agreement.
- xiii) The final agreement needs to be summarized and written down at the conclusion of the negotiations.
- xiv) Plan for alternative outcomes if you can't reach agreement.

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SOALAN/QUESTION :

1. What is the purpose of negotiation at the workplace?
2. Name types of negotiation that can be implement at the workplace?.
3. How the process of negotiation can be done?

RUJUKAN / REFERENCES:

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